

cornfields and mountain shacks. You might be surprised by some of the areas that are included.

This loan allows for a down payment as low as zero percent—again, you read that right—and the lowest mortgage insurance and funding fees of all the government-backed programs. But before you grab your straw hat and pitchfork, be aware that you must apply for consideration through the USDA prior to approval. As with many other government-backed loans, your ability to qualify is based on household income, and you must use the property as a primary residence.

Portfolio Loans

Though they sound like the names of two old-timey radio personalities, Fannie Mae and Freddie Mac are two government-chartered companies that will often buy mortgages from lenders to take the loans off their hands. In most cases, your initial lender will only hold on to the loan for a short time before selling it; otherwise they would quickly run out of money to close on more loans.

However, a portfolio loan is one that a lender keeps “in-house” rather than selling on the secondary market. When a lender plans to keep the loan, the requirements loosen up considerably, since they don’t have to conform to Fannie Mae and Freddie Mac requirements. Basically, they can write any rules they want, so long as they don’t run afoul of lending laws.

Most banks won’t touch portfolio loans. Smaller banks, a local bank with which you have an existing relationship, or a credit union will be your best bet for finding one of these.

BUT WAIT, THERE’S MORE!

As if choosing among all these loan options weren’t difficult enough, there’s more to know before you bravely march into that lender’s office (or bravely call them on the phone). Once you choose the type of loan, there are a few more options to take into consideration. We could list pages of information on loan variations, but let’s stick with the three main loan features: your loan term, a fixed rate versus an adjustable rate, and private mortgage insurance.